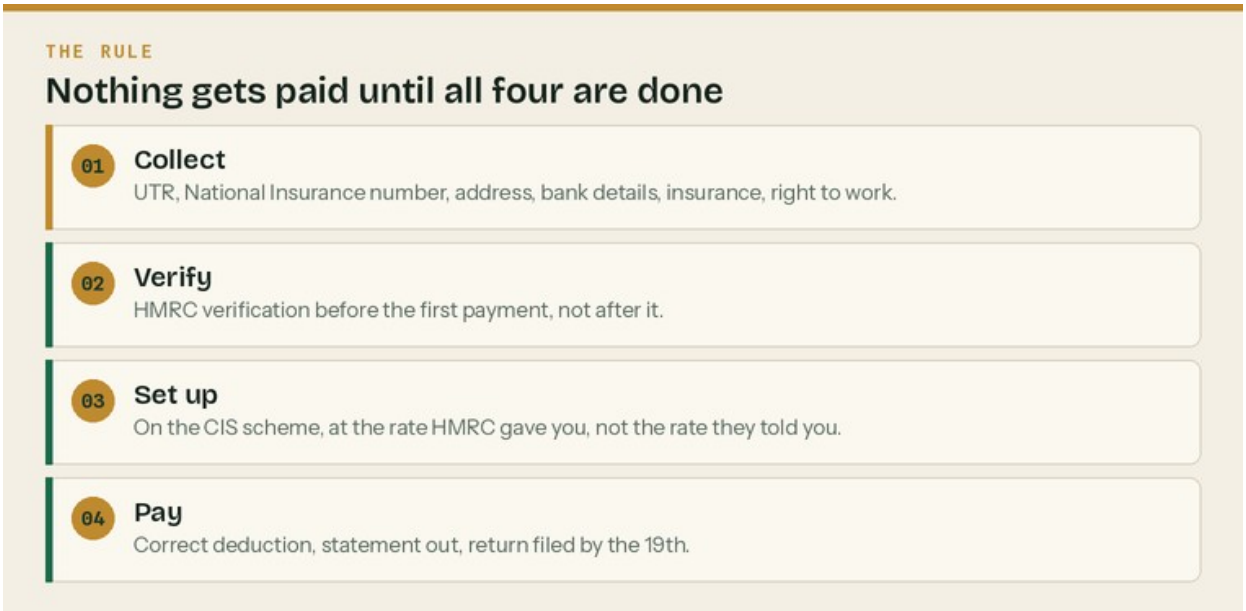
Subcontractor Onboarding Pack

Everything to collect before a subcontractor is paid a penny. One sheet per subbie, kept in their file.

WHY THIS EXISTS

Every unverified subcontractor is a **30% deduction** the contractor should have made and usually did not. Every missing insurance certificate is a claim waiting to land on the contractor. Every subbie who works only for you, on your hours, with your tools, is an employment status argument you will lose.

None of that is difficult to avoid. It is six pieces of paper collected once, before the first payment, and diarised for renewal. This pack is those six pieces of paper.



The rule. All four, before the first payment, with no exceptions for anybody.

The one rule that makes this work

Nothing gets paid until the file is complete. Not a part payment, not a sub, not £200 in cash to keep somebody going over the weekend. The moment there is an exception, there is always an exception, and the file never gets finished.

EXPOSURE

What it costs to skip a step

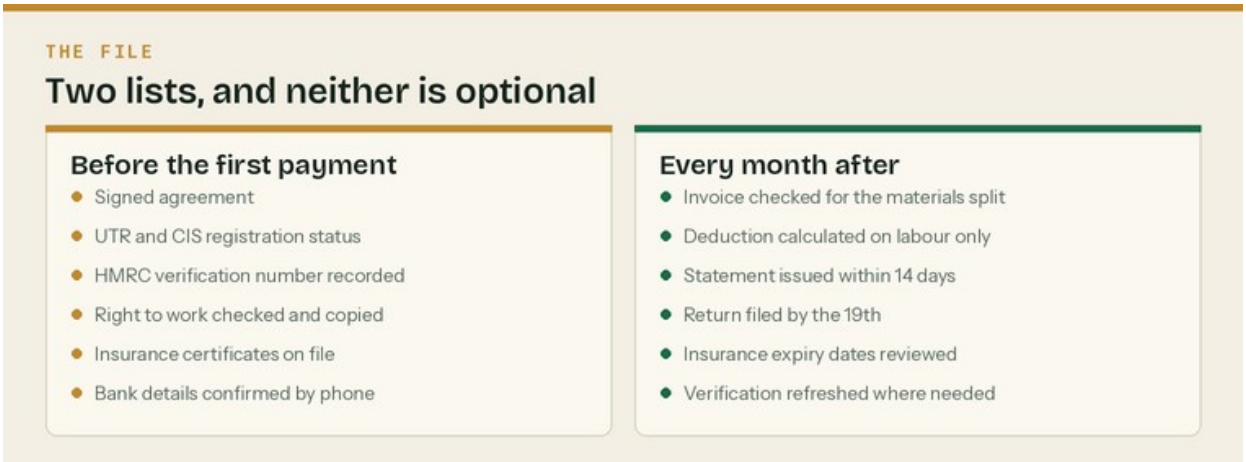
Unverified subcontractor, deduction you must make	30%
Right-to-work copies kept after they leave	2 years
Civil penalty for one illegal worker, up to	£60,000
Employers' liability minimum cover	£5,000,000
CIS records kept	3 years

What it costs to skip a step. Every figure here is set by HMRC or the Home Office.

Print one of these per subcontractor

- [ ] Keep it at the front of their file
- [ ] Diary every expiry date on it
- [ ] Review it when they come back after a break
- [ ] Re-verify anybody you have not paid for two tax years

The subcontractor file



Two lists. The left one is before the first payment. The right one is every month after.

1 — Who they are

Full name	*as it appears on their ID*
Trading name	
Structure	*sole trader, partnership or limited company*
Address	
Postcode	
Mobile	
Email	
Date of birth	
Trade	*groundworks, electrical, roofing, plastering*
Date first engaged	

2 — Tax and CIS

UTR	*10 digits. Without it, deduct at 30%.*
National Insurance number	*sole traders and partners*

Company registration number	*limited companies*
Company UTR	*limited companies*
VAT number	*if registered*
Date verified with HMRC	
HMRC verification number	*record it exactly as HMRC gave it*
Deduction rate HMRC gave	*20%, 30% or 0%*

Registered with HMRC under CIS

☐ Yes ☐ No ☐ Cannot be matched

Gross payment status

☐ Yes ☐ No ☐ Not sure

> **Use the rate HMRC gave you, not the rate they told you**
>
> A subcontractor saying "I'm on twenty" is not evidence of anything. Verification is a call or an online check that takes two minutes and produces a number. **If you cannot produce the verification number, treat them as unverified and deduct at 30%.** That is not being difficult. It is the only position that leaves the exposure with the right person.

3 — Right to work

Check before the first day, for **everybody**, including people you have known for years and including British citizens. Checking only the people who look or sound foreign is unlawful discrimination.

How the check was done

☐ Original documents ☐ Home Office online share code ☐ Certified identity provider

Date of check	*must be before work starts*
Document seen	*passport, birth certificate plus NI evidence, share code*
Document expiry, if time-limited	*diary a follow-up check*

Who did the check	
Copy taken and dated	*yes or no*

> **Two years after they stop, and up to £60,000 if you get it wrong**
>
> Keep the copy for the whole time they work for you and for **two years afterwards**. The civil penalty for employing someone without the right to work is up to **£60,000 per worker**, and knowingly doing it carries up to five years' imprisonment and an unlimited fine. A correct check, done before they start, is a statutory excuse. Done afterwards, it is worth nothing.

4 — Insurance

Public liability insurer	
Policy number	
Cover	*£*
Expiry date	*diary it*
Employers' liability insurer	*only if they employ anybody*
Policy number	
Cover	*£5 million minimum*
Expiry date	*diary it*

☐	Certificate seen and copied	Not a screenshot of a renewal quote
☐	Name on the certificate matches the name on the invoice	A surprisingly common failure
☐	Cover is appropriate to the work	Roofing and groundworks need more than second fix
☐	Expiry date diarised	An expired certificate is no certificate

5 — Cards, tickets and competence

CSCS card type and number	

Expiry	
Trade qualifications or tickets	*Gas Safe, NICEIC, IPAF, PASMA, asbestos awareness*
Expiry dates	
Anything the site specifically requires	

6 — Payment details

Account name	
Sort code	
Account number	
Confirmed verbally on	*date*
Confirmed with whom	*and on which number*

> **Ring the number you already had, not the one on the email**
>
> Changed bank details arriving by email are the most common fraud in construction. Ring the mobile you have had for two years, say the last four digits back to them, and write down who you spoke to and when. It takes ninety seconds and it has saved firms five-figure sums.

7 — The agreement

☐	Written agreement signed, before any work	☐	Rate or price agreed in writing
☐	Payment terms agreed in writing	☐	Retention terms agreed, if any
☐	CEST employment status check run and printed	☐	Result of the CEST check filed

The month, once they are on



The same four dates every month, from the day they start.

DATE	WHAT HAPPENS	WHO
The 5th	Tax month ends. Total the payments made to each subcontractor.	Klyara
The 10th	Records to Klyara — invoices, applications, payments made.	You
The 12th	Monthly CIS return filed, a week ahead of the deadline.	Klyara
The 19th	HMRC deadline. Statements issued to every subcontractor by now.	Klyara
The 22nd	CIS deductions paid over to HMRC electronically.	You

Checking the invoice before it is paid

☐	Materials shown separately	You do not deduct CIS on materials they paid for

☐	VAT treated correctly	Reverse charge, in most cases, between construction businesses
☐	Plant hire shown separately	Excluded from the deduction
☐	Labour figure is what the deduction is calculated on	Labour only, nothing else
☐	Invoice matches the order or the application	Not the other way round

What CIS is actually deducted from

Take the gross invoice. Take off **VAT**, **materials the subcontractor paid for directly**, **plant hire for the job**, **consumable stores**, **fuel other than for travelling**, and **manufacturing or prefabricating materials**. Whatever is left is the labour, and that is what the 20% or 30% comes off.

Renewals to diary

WHAT	WHEN TO CHECK	WHAT HAPPENS IF IT LAPSES
Public liability insurance	One month before expiry	They stop work until it is renewed
Employers' liability insurance	One month before expiry	They stop work until it is renewed
Time-limited right to work	Before the expiry date	You lose the statutory excuse
CSCS card	Three months before expiry	Most sites will not let them on
CIS verification	If unused for two tax years	Re-verify before the next payment
Gross payment status	HMRC reviews it annually	Rate changes; check every verification

When somebody leaves

☐	Final payment and final statement issued	☐	Retention release date recorded and diarised
☐	File closed and dated	☐	Records kept for three years for CIS
☐	Right-to-work copy kept for two more years	☐	Any outstanding defects noted

Signatures

CHECKED AND COMPLETE	[NAME], FOR THE CONTRACTOR
SIGNED	PRINT NAME
POSITION	DATE

SUBCONTRACTOR	[NAME]
SIGNED	PRINT NAME
POSITION	DATE

Sources

Every figure and deadline in this document was checked against the page listed beside it on **Wednesday 26 August 2026**. Re-check before each use — thresholds and penalties change.

WHAT WAS CHECKED	SOURCE
CIS rates, what the deduction is applied to, statements within 14 days	https://www.gov.uk/what-you-must-do-as-a-cis-contractor/make-deductions-and-pay-subcontractors
Monthly return by the 19th, nil returns, penalties	https://www.gov.uk/what-you-must-do-as-a-cis-contractor/file-your-monthly-returns
Contractor must verify subcontractors with HMRC	https://www.gov.uk/what-you-must-do-as-a-cis-contractor
Registration and the higher rate for unregistered subcontractors	https://www.gov.uk/what-is-the-construction-industry-scheme
Right-to-work checks: three methods, before employment, copies kept 2 years after	https://www.gov.uk/check-job-applicant-right-to-work
Civil penalty up to £60,000 per illegal worker; 5 years and an unlimited fine if knowing	https://www.gov.uk/penalties-for-employing-illegal-workers
Employers' liability insurance minimum £5 million	https://www.gov.uk/employers-liability-insurance
Employment status, and the online status check	https://www.gov.uk/employment-status/selfemployed-contractor